Economics

February 5, 2026

December JOLTS: Slide in Openings Signals Labor Demand Remains Weak

Economic Indicator

Economist(s)

Sarah House

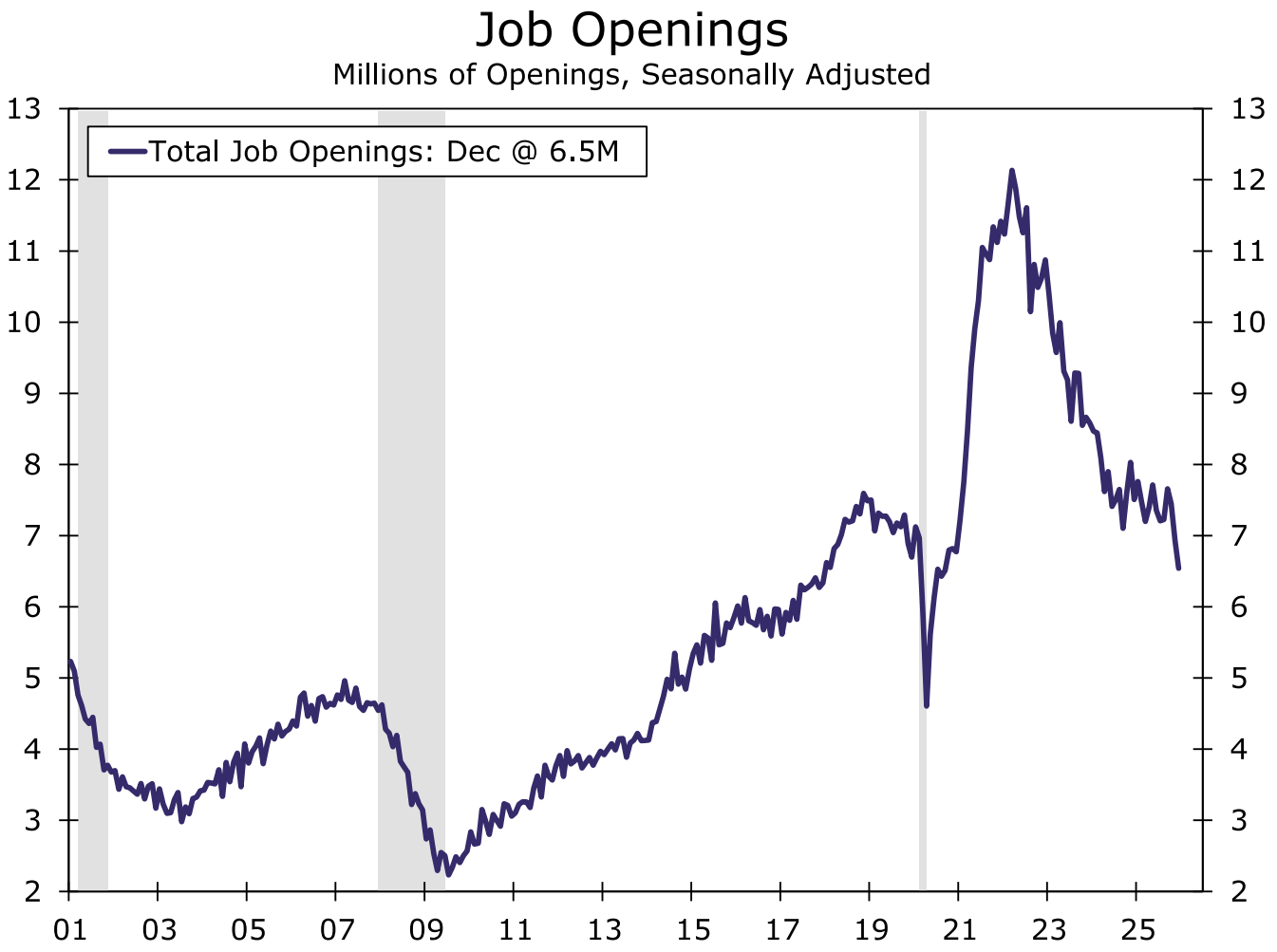
Michael Pugliese

Nicole Cervi

Summary

The December JOLTS report underscored the labor market remains in a precarious position. Job openings fell to 6.5 million and are down around 10% over the past year. The ongoing slide suggests a turnaround in hiring conditions is not yet upon us. Turnover data also suggest labor market activity remains subdued. The hiring and quit rates remained near their lowest levels in roughly a decade in December, excluding the initial months of the pandemic.

The low hiring environment and subdued rate of workers voluntarily leaving their jobs risks pushing layoffs higher. The layoff rate remained at 1.1% in December, but more forward-looking data from Challenger show job cut announcements trending higher. While announcements have not risen to a degree that signal a mass loss in employment, the pickup is a reminder that firms are not opposed to cutting headcount when other options have been exhausted.

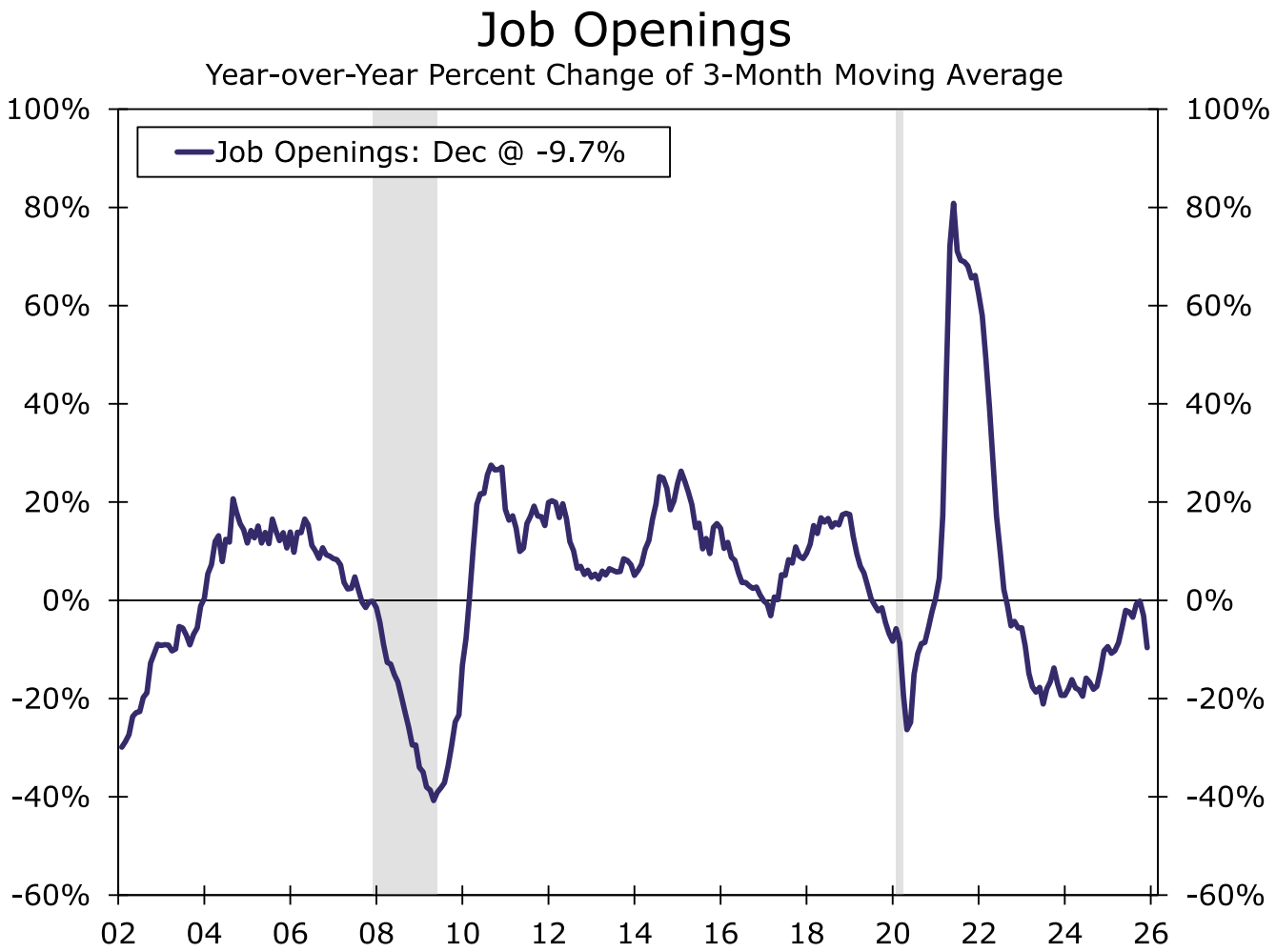


Source: U.S. Department of Labor and Wells Fargo Economics

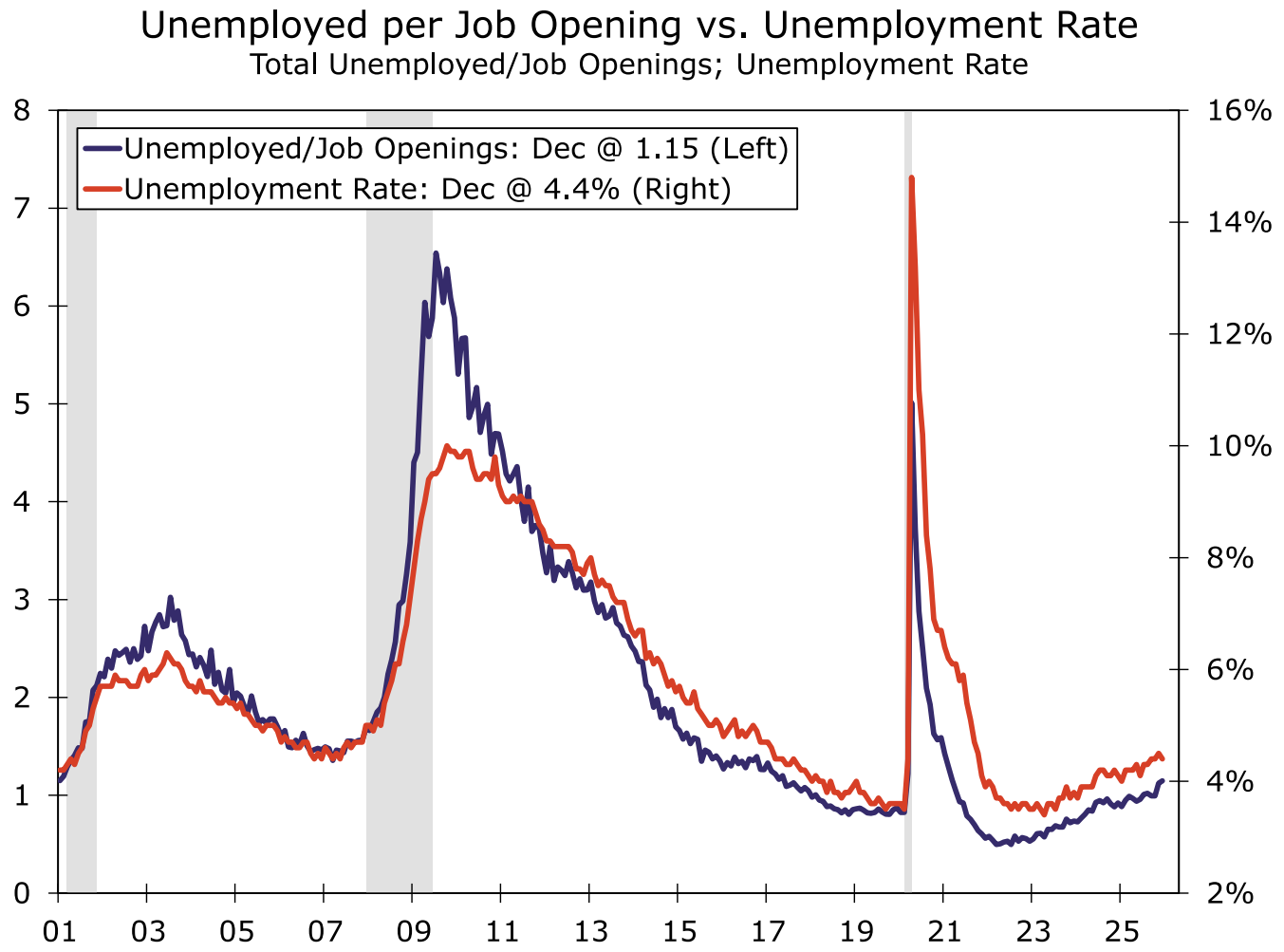
Openings Down, Turnover Remains Depressed

The December JOLTS report underscored the labor market remains in a precarious position. Job openings fell to 6.5 million at the end of the month, coming off of a downwardly revised reading in November. Smoothing with a three-month average, job vacancies were down 9.7% in December, the sharpest contraction since early 2025 when policy uncertainty was intensifying (chart).

The pullback in openings signals that labor demand is slowing more than labor supply, which points to some upside risk to the unemployment rate in the coming months (chart). While some labor market data such as small business hiring plans and Indeed's measure of total postings have shown tentative signs of labor demand stabilizing since last spring, the ongoing slide in new job postings from Indeed and now JOLTS job openings suggest a turn around in hiring conditions is not yet upon us.



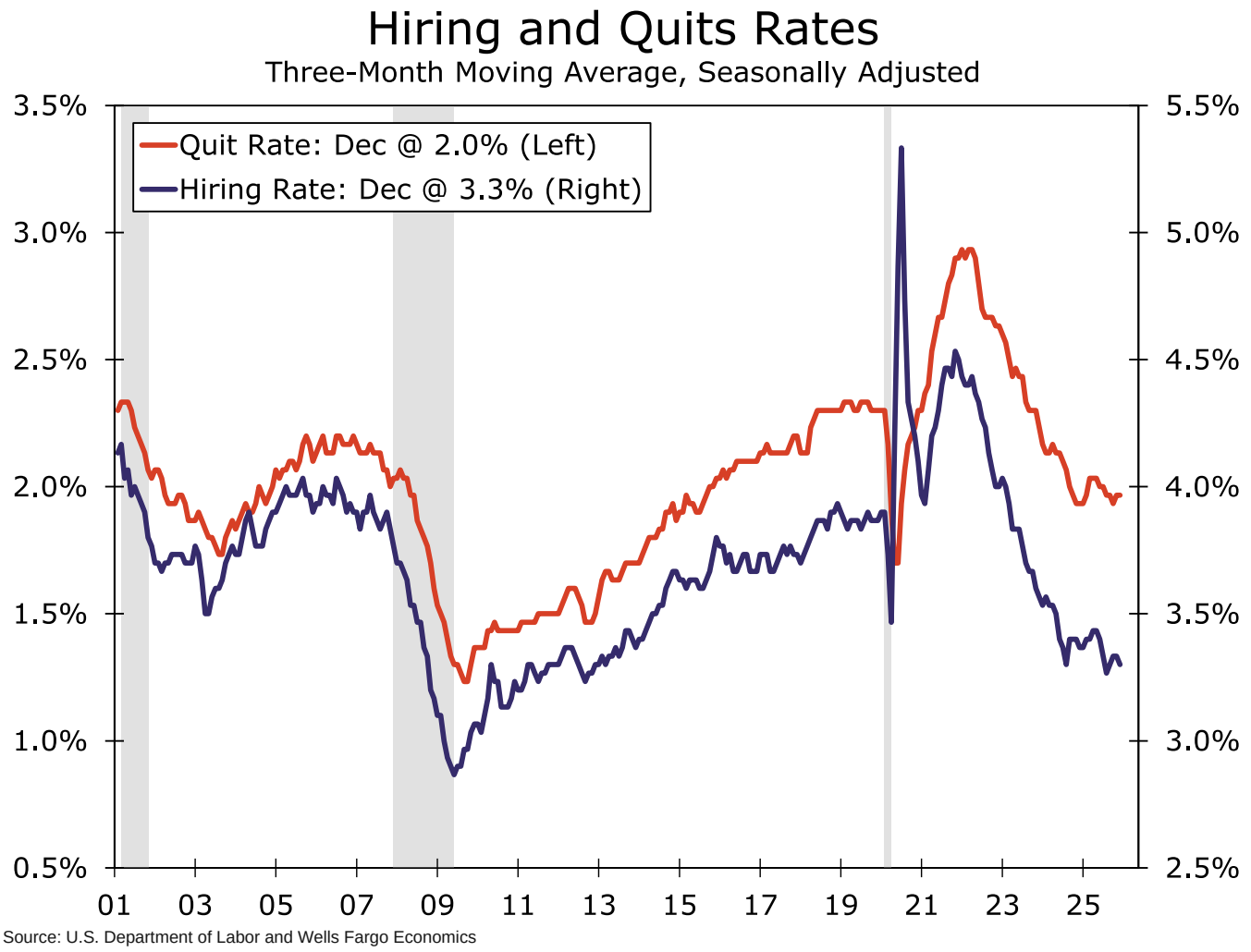
Source: U.S. Department of Labor and Wells Fargo Economics

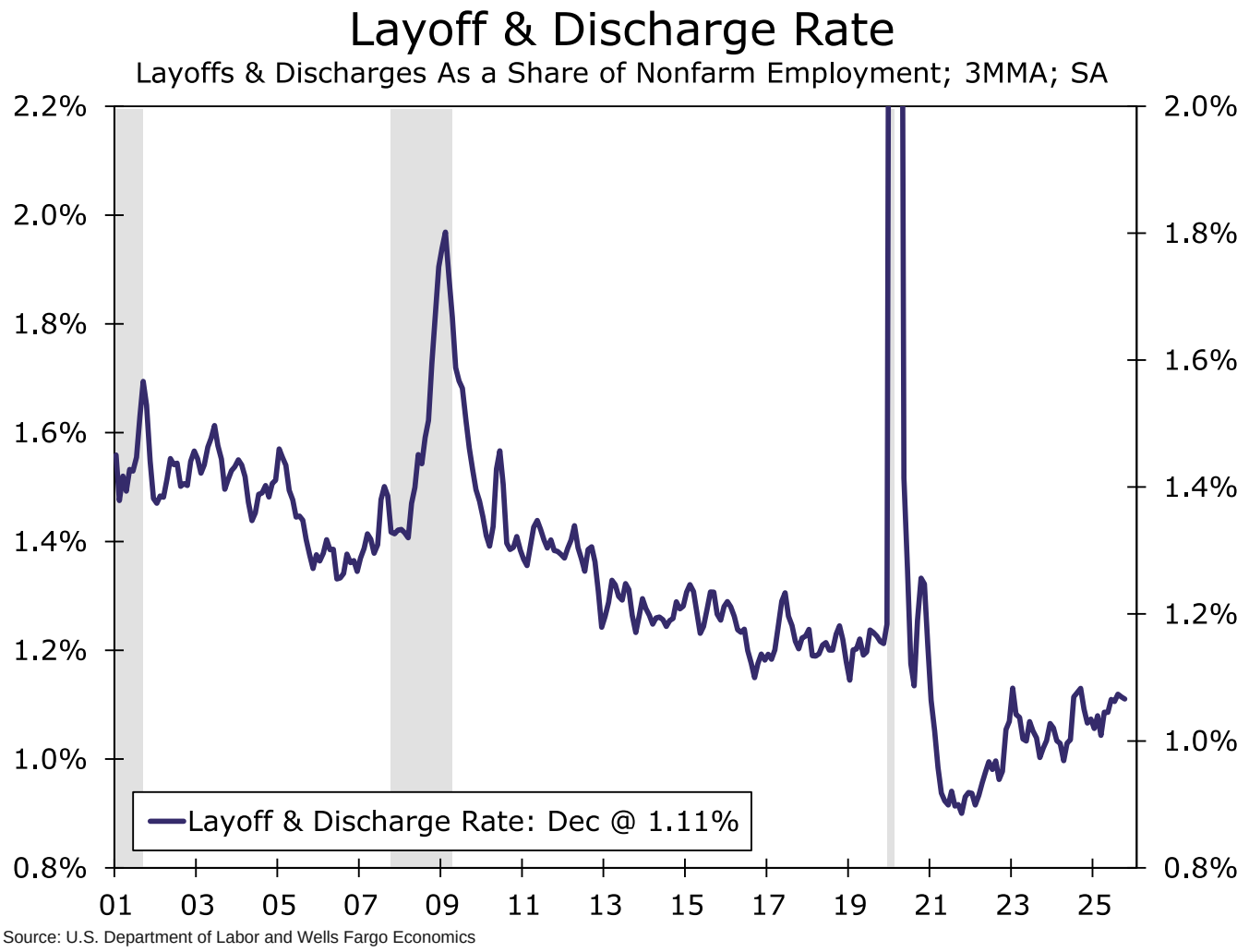


Source: U.S. Department of Labor and Wells Fargo Economics

The downward trend in job openings has underpinned a subdued rate of hiring. The hiring rate ticked up a tenth to 3.3% in December but is still hovering at a rate that last persisted in 2013. With fewer job opportunities available, voluntary departures of workers remains muted; the quit rate held steady at 2.0% in December (chart).

The low hiring environment and subdued rate of workers voluntarily leaving their jobs risks pushing layoffs higher. Having already dialed back new hires and no longer seeing much natural attrition, companies are left with pink slips as the remaining lever to pull to restrain labor cost growth. The layoff rate remained at 1.1% in December (chart). More recent data on initial jobless claims through January also suggest current layoff activity remains in check. That said, more forward-looking data from Challenger show job cut announcements trending higher. While announcements have not risen to a degree that signal a mass loss in employment, the pickup is a reminder that firms are not opposed to cutting headcount when other options have been exhausted.


Hiring and Quits Rates
Three-Month Moving Average, Seasonally Adjusted
Quit Rate: Dec @ 2.0% (Left)
Hiring Rate: Dec @ 3.3% (Right)
3.5%
3.0%
2.5%
2.0%
1.5%
1.0%
0.5%
5.5%
5.0%
4.5%
4.0%
3.5%
3.0%
2.5%
01
03
05
07
09
11
13
15
17
19
21
23
25
Source: U.S. Department of Labor and Wells Fargo Economics


Layoff & Discharge Rate
Layoffs & Discharges As a Share of Nonfarm Employment; 3MMA; SA
Layoff & Discharge Rate: Dec @ 1.11%
2.2%
2.0%
1.8%
1.6%
1.4%
1.2%
1.0%
0.8%
2.0%
1.8%
1.6%
1.4%
1.2%
1.0%
0.8%
01
03
05
07
09
11
13
15
17
19
21
23
25
Source: U.S. Department of Labor and Wells Fargo Economics

Subscription Information

To subscribe please visit: www.wellsfargo.com/economicsemail

Via The Bloomberg Professional Services at WFRE

Economics Group

Tom Porcelli	Chief Economist	212-214-6422	Tom.Porcelli@wellsfargo.com
Tim Quinlan	Senior Economist	704-410-3283	Tim.Quinlan@wellsfargo.com
Sarah House	Senior Economist	704-410-3282	Sarah.House@wellsfargo.com
Charlie Dougherty	Senior Economist	212-214-8984	Charles.Dougherty@wellsfargo.com
Michael Pugliese	Senior Economist	212-214-5058	Michael.D.Pugliese@wellsfargo.com
Brendan McKenna	International Economist	212-214-5637	Brendan.Mckenna@wellsfargo.com
Jackie Benson	Economist	704-410-4468	Jackie.Benson@wellsfargo.com
Shannon Grein	Economist	704-410-0369	Shannon.Grein@wellsfargo.com
Nicole Cervi	Economist	704-410-3059	Nicole.Cervi@wellsfargo.com
Delaney Conner	Economic Analyst	704-374-2150	Delaney.Conner@wellsfargo.com
Ali Hajibeigi	Economic Analyst	212-214-8253	Ali.Hajibeigi@wellsfargo.com
Azhin Abdulkarim	Economic Analyst	212-214-5154	Azhin.Abdulkarim@wellsfargo.com
Anagha Sridharan	Economic Analyst	704-410-6212	Anagha.Sridharan@wellsfargo.com
Andrew Thompson	Economic Analyst	704-410-2911	Andrew.L.Thompson@wellsfargo.com

All estimates/forecasts are as of 2/5/2026 unless otherwise stated. 2/5/2026 11:10:55 EST. This report is available on Bloomberg WFRE

Required Disclosures

This report is produced by the Economics Group of Wells Fargo Bank, N.A. (“WFBNA”). This report is not a product of Wells Fargo Global Research and the information contained in this report is not financial research. WFBNA distributes this report directly and through affiliates including, but not limited to, Wells Fargo Securities, LLC, Wells Fargo & Company, Wells Fargo Clearing Services, LLC, Wells Fargo Securities International Limited, Wells Fargo Securities Europe S.A., and Wells Fargo Securities Canada, Ltd. Wells Fargo Securities, LLC is registered with the Commodity Futures Trading Commission as a futures commission merchant and is a member in good standing of the National Futures Association. WFBNA is registered with the Commodity Futures Trading Commission as a swap dealer and is a member in good standing of the National Futures Association. Wells Fargo Securities, LLC and WFBNA are generally engaged in the trading of futures and derivative products, any of which may be discussed within this report. All reports published by the Economics Group are disseminated and available to all clients simultaneously through electronic publication to our public website. Clients may also receive our reports via third party vendors. We are not responsible for the redistribution of our reports by third-party aggregators. Any external website links included in this report are not maintained, controlled or operated by WFBNA. WFBNA does not provide the products and services on these websites and the views expressed on these websites do not necessarily represent those of WFBNA.

This publication has been prepared for informational purposes only and is not intended as a recommendation, offer or solicitation with respect to the purchase or sale of any security or other financial product, nor does it constitute professional advice. The information in this report has been obtained or derived from sources believed by WFBNA to be reliable, but has not been independently verified by WFBNA, may not be current, and WFBNA has no obligation to provide any updates or changes. All price references and market forecasts are as of the date of the report or such earlier date as may be indicated for a particular price or forecast. The views and opinions expressed in this report are those of its named author(s) or, where no author is indicated, the Economics Group; such views and opinions are not necessarily those of WFBNA and may differ from the views and opinions of other departments or divisions of WFBNA and its affiliates. WFBNA is not providing any financial, economic, legal, accounting, or tax advice or recommendations in this report. Neither WFBNA nor any of its affiliates makes any representation or warranty, express or implied, as to the accuracy or completeness of the statements or any information contained in this report, and any liability therefore (including in respect of direct, indirect or consequential loss or damage) is expressly disclaimed. WFBNA is a separate legal entity and distinct from affiliated banks, and is a wholly-owned subsidiary of Wells Fargo & Company.

You are permitted to store, display, analyze, modify, reformat, copy, duplicate and reproduce this report and the information contained within it for your own use and for no other purpose. Without the prior written consent of WFBNA, no part of this report may be copied, duplicated or reproduced in any form by any other means. In addition, this report and its contents may not be redistributed or transmitted to any other party in whole or in part, directly or indirectly, including by means of any AI Technologies (defined below) through which this report or any portion thereof may be accessible by any third-party. “AI Technologies” means any deep learning, machine learning, and other artificial intelligence technologies, including without limitation any and all (a) proprietary algorithms, software, or systems that make use of or employ neural networks, statistical learning algorithms (such as linear and logistic regression, support vector machines, random forests or k-means clustering) or reinforcement learning, or curated data sets accessible by any of the foregoing or (b) proprietary embodied artificial intelligence and related hardware or equipment. In addition, certain text, images, graphics, screenshots and audio or video clips included in this report are protected by copyright law and owned by WFBNA, its affiliates or one or more third parties (collectively, “Protected Content”). Protected Content is made available to clients by Wells Fargo under license or otherwise in accordance with applicable law. Any use or publication of Protected Content included in this report for purposes other than fair use requires permission from WFBNA or, in the case of content attributed to any third party, the third-party copyright owner. You may not alter, obscure, or remove any copyright, trademark or any other notices attached to or contained within this report. All rights not expressly granted herein are reserved by WFBNA or the third-party providers from whom WFBNA has obtained the applicable information. © 2026 Wells Fargo Bank, N.A.

Important Information for Non-U.S. Recipients

For recipients in the United Kingdom, this report is distributed by Wells Fargo Securities International Limited ("WFSIL"). WFSIL is a U.K. incorporated investment firm authorized and regulated by the Financial Conduct Authority (“FCA”). For the purposes of Section 21 of the UK Financial Services and Markets Act 2000 (the “Act”), the content of this report has been approved by WFSIL, an authorized person under the Act. WFSIL does not deal with retail clients as defined in the Directive 2014/65/EU (“MiFID2”). The FCA rules made under the Act for the protection of retail clients will therefore not apply, nor will the Financial Services Compensation Scheme be available. For recipients in the EFTA, this report is distributed by WFSIL. For recipients in the EU, it is distributed by Wells Fargo Securities Europe S.A. (“WFSE”). WFSE is a French incorporated investment firm authorized and regulated by the Autorité de contrôle prudentiel et de résolution and the Autorité des marchés financiers. WFSE does not deal with retail clients as defined in MiFID2. This report is not intended for, and should not be relied upon by, retail clients.

SECURITIES: NOT FDIC-INSURED - MAY LOSE VALUE - NO BANK GUARANTEE